

October 14, 2024

CPUC Energy Division Tariff Unit
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RE: Response of the Vehicle Grid Integration Council to Pacific Gas and Electric Advice Letter 7378-E: PG&E's Request for Extension of Time for PG&E's Vehicle-to-Everything Pilot #3 (V2X Microgrid Pilot)

Dear Sir or Madam:

Pursuant to the provisions of General Order 96-B, the Vehicle Grid Integration Council ("VGIC") hereby submits this response to the above-referenced Advice Letter 7378-E of Pacific Gas and Electric Company ("PG&E"), *PG&E's Request for Extension of Time for PG&E's Vehicle-to-Everything Pilot #3 (V2X Microgrid Pilot)* ("Advice Letter") on September 24, 2024.

VGIC commends PG&E's efforts to advance vehicle-grid integration ("VGI") in its service territory by conducting these VGI pilots and providing learnings on how to best integrate electric vehicles ("EVs") into the grid and leverage bidirectional charging capabilities. California continues to face outage risks due to extreme weather, and resiliency solutions remain a priority. PG&E's VGI pilots are all critical to support customer resiliency, and Pilot #3 is certainly no exception.

Generally, VGIC supports PG&E's extension request for Phase 1 and Phase 2 of the V2X Microgrid pilot. However, VGIC urges PG&E and the Commission to prioritize these pilots and VGI efforts, as ongoing delays are preventing California from fully leveraging EVs for grid integration.

I. VGIC SUPPORTS PG&E'S EXTENSION REQUESTS FOR THE V2X MICROGRID PILOT, INCLUDING THE EXTENSION OF PHASE 2 TO 2028.

The V2X Microgrid Pilot includes the most complex projects of the three VGI pilots approved in Resolution E-5192, given the individuality of each community microgrid. The V2X Microgrid Pilot is not only a pilot of V2X technologies, but a part of the broader piloting of community microgrids. The delays being faced in the establishment of the Redwood Coast Airport Microgrid is an example of the difficulties in constructing multi-customer microgrids. Given the

circumstances explained by PG&E surrounding funding delays and additional engineering work needed, the extension for Phase 1 should be granted.

VGIC supports PG&E's proposal to extend Phase 2 of the pilot until April 2028 or until the pilot budget is fully utilized. It is clear that the original vision of completing Phase 2 in 12 months is challenging. As discussed above, community microgrids take significant time to develop. At the same time, V2X resources can play an important role in providing energy storage during extended outages. PG&E's request to extend the pilot until 2028 will allow additional community microgrids to come online and will allow the pilot to be successful. Without the extension, Phase 2 of the pilot is unlikely to move forward successfully.

II. PG&E AND THE COMMISSION SHOULD GENERALLY PRIORITIZE VGI PILOTS AND EXPANSION OF VGI SOLUTIONS.

Senate Bill ("SB") 676, which directs the Commission to "establish strategies to maximize the use of feasible and cost-effective EV integration into the electric grid by January 1, 2030," was passed in 2019. The Commission adopted Decision 20-12-029 to meet the directives of SB 676 in 2020. Yet, in 2024, VGI programs remain exceptionally limited in scope and scale. VGIC understands the efforts the utilities have put in to implement VGI programs, and PG&E's pilots, in particular, are some of the most comprehensive. However, the Commission must work to accelerate the adoption of VGI solutions, particularly given major, pressing concerns about customer energy affordability. Ensuring that EVs consume energy at optimal times, while minimizing the need for new generation, transmission, and distribution infrastructure, is key to managing electric rates and enabling broader electrification.

Resolution E-5192 approving three VGI pilots for PG&E envisioned all three approved pilots concluding in 2024. Instead, the first 2 V2X pilots did not launch until 2024, and the third pilot discussed in this Advice Letter has not yet commenced. This has been due to a variety of factors, but manageable elements of extensions and regulatory approvals should be improved. For example, there was nearly a 22-month gap between PG&E's submission of Advice Letter 6694-E on real-time pricing for the V2X residential and commercial pilots and its approval by Resolution E-5326.¹ The instant Advice Letter has also been part of a duplicative regulatory process, with PG&E originally requesting this relief via a Request for Extension. This was the incorrect procedural pathway, so the Commission then directed PG&E to file this Advice Letter to extend the V2X Microgrid Pilot.²

¹ PG&E Advice Letter 6694-E was filed on September 2, 2022. Resolution E-5326 was approved on July 11, 2024.

² See the Commission's Letter "RE: Request for Extension of Time for Vehicle-Grid Integration Microgrid Pilot Approved in Resolution E-5192" sent June 27, 2024.

VGIC strongly urges PG&E and the Commission to prioritize these pilots to ensure their success. Streamlining any potential regulatory process and reducing delays will be critical to maintaining momentum and capitalizing on lessons learned, including navigating the on-ramp from pilot to full-scale, mass-market program development. These VGI pilots will inform significant portions of California's VGI strategy and the use of bidirectional charging equipment going forward. A focus on timely implementation will help California achieve its VGI goals and, critically, ensure that customers can benefit from improved grid reliability, resiliency, and cost savings.

III. CONCLUSION.

VGIC appreciates the opportunity to submit this response to the Advice Letter and looks forward to collaborating with the Energy Division and stakeholders on this important initiative.

Respectfully submitted,

/s/ Zach Woogen

Zach Woogen

Interim Executive Director

Vehicle Grid Integration Council (VGIC)

cc: Sidney Bob Dietz II, PG&E, c/o Megan Lawson (PGETariffs@pge.com)
Service lists: R.18-12-006 and R.23-12-008